AGA KHAN UNIVERSITY EXAMINATION BOARD

HIGHER SECONDARY SCHOOL CERTIFICATE

CLASS XI

ANNUAL EXAMINATIONS 2021

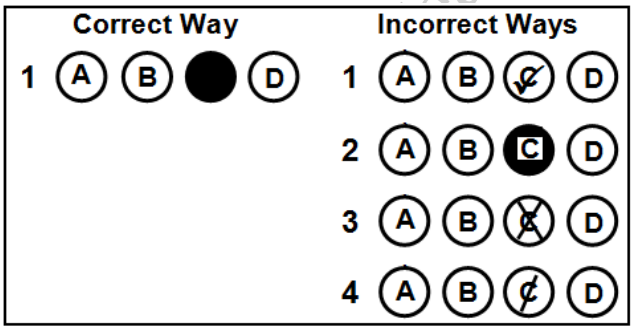
Principles of Accounting

Time: 2 hours 10 minutes Marks: 65

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INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 65 only.
4. In each question, there are four choices A, B, C, D. Choose ONE. On the answer grid, black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. The marks obtained on the 65 MCQs will be equated to the total marks of 100 for the theory examination results.
8. You may use a scientific calculator if you wish
9. Wherever new terminologies are mentioned their old terminologies are mentioned in the brackets for your assistance.

1. The inventory records of Arshad Traders showed the value of inventory as follows:

Cost	Rs 18,000
Net realisable value	Rs 17,600

If Arshad Traders reported the inventory in the financial statement as Rs 17,600, then the accounting principle followed while reporting inventory as Rs 17,600 is known as the

A. prudence concept.
B. consistency concept.
C. historical cost concept.
D. money measurement concept.

2. Which of the following CORRECTLY depicts the effects of the dual aspects of accounting?

	Transaction	Assets	Liabilities
A	Paid trade payables (accounts payable) via cheque	Increase	Increase
B	Purchased goods on account	Decrease	Increase
C	Received commission in advance	Increase	Decrease
D	Paid accrued salary expenses on cash	Decrease	Decrease

3. An expense is only recorded in 'accrual base accounting' when it is

A. earned
B. incurred.
C. collected.
D. post-paid.

4. Shaista is a web designer. While reviewing the business records, she found that entries related to her personal investments into the stock market were entered by the accountant in the capital account.

The entries made by the accountant are basically a violation of the accounting principle of

A. business entity.
B. objectivity concept.
C. money measurement.
D. dual aspects concept.

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5. Aziz and Naimat are partners in a business. The account balance of a machine in their business as on December 31, 2015 was Rs 1,500,000. They used the straight line method for charging depreciation.

   During the year 2016, they bought a new machine for Rs 1,200,000 and depreciated it by the diminishing balance method.

   Which of the following accounting concepts was ignored by the business in the given scenario?

   A. Prudence concept
   B. Consistency concept
   C. Historical cost concept
   D. Going concern concept

6. All of the following are the objectives of accounting EXCEPT

   A. revealing the financial position of the business.
   B. ascertaining the operating results of the business.
   C. recording expenditures and revenues of the business.
   D. settling public expenditures through regulating the business.

7. Aaliya started a fast food business as an entrepreneur by investing Rs 100,000.

   Her investment in the business will be classified as a/ an

   A. liability.
   B. expense.
   C. revenue.
   D. capital.

8. All of the given transactions are classified as credit transactions EXCEPT

   A. Karim sold goods to Saleem.
   B. Ameen paid the salary of his worker.
   C. Murtaza bought supplies from Alpha Traders.
   D. Qayam purchased office furniture from Alpha Company.

9. Which of the given business transactions will BEST describe the acquisition of a non-current (fixed) asset?

   A. Aleem, an estate agent, purchased furniture for his office
   B. Kareema, a software developer, purchased office supplies
   C. Saleema, a cloth trader, purchased a variety of synthetic yarn
   D. Amin, a sweet seller, purchased ribbons for the store decorations

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10. Following are the steps of the accounting process (cycle):

    I. summarising
    II. recording
    III. classifying
    IV. origination

    The CORRECT sequence of the accounting process (cycle) is

    A. I, II, III and IV.
    B. II, III, IV and I.
    C. III, II, IV and I.
    D. IV, II, III and I.

11. On June 01, 2019, Star Associate's statement of financial position (balance sheet) showed total assets of Rs 75,000 and liabilities of Rs 25,000.

    In the given scenario, the total capital of the firm would be

    A. Rs 25,000
    B. Rs 50,000
    C. Rs 75,000
    D. Rs 100,000

12. Ayub and Salwa established A&S Foods. Ayub invested a shop premises worth Rs 1,500,000 and groceries worth Rs 350,000 and Salwa invested fixtures and fittings worth Rs 700,000, food supplies worth Rs 250,000 and a delivery van of Rs 900,000.

    The amount of current assets for A&S Foods would be

    A. Rs 250,000
    B. Rs 350,000
    C. Rs 600,000
    D. Rs 950,000

13. In the beginning of the year, Murad paid Rs 250,000 annual rent for a shop premises via cross cheque.

    At the time of the payment, the given transaction in the books of Murad would be classified as

    A. accrued income.
    B. prepaid expense.
    C. unearned income.
    D. outstanding expense.

14. Which of the following is considered as a contra asset account?

    A. Sales discount
    B. Allowance (provision) for depreciation
    C. Discount on notes payable
    D. Premium on bonds payable

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15. Rabail, an entrepreneur in a firm, brought his personal vehicle worth Rs 500,000 as an additional investment in the business.

The impact of the given transaction in terms of debit and credit would be

	Debit	Credit
A	Cash	Motor vehicle
B	Rabail's capital account	Motor vehicle
C	Motor vehicle	Rabail's capital account
D	Motor vehicle	Cash

16. Which of the following is considered as a capital expenditure of a store?

A. Purchased lighting for the store
B. Purchased fixtures for the storage
C. Purchased shopping bags for the store
D. Purchased merchandise from a manufacturer

17. Asif is a fruit seller. He sold 1 kg apple for Rs 150 on cash. The account heads that would be affected from this transaction are

A. cash and sales.
B. cash and apples.
C. trade payables (accounts payable) and cash.
D. trade receivables (accounts receivable) and sales.

18. Which of the following CORRECTLY explains the accounting cycle?

	Accounting Cycle
A	General Journal → General Ledger → Trail Balance → Final Accounts
B	General Ledger → General Journal → Trail Balance → Final Accounts
C	General Journal → Trail Balance → General Ledger → Final Accounts
D	General Ledger → Trail Balance → General Journal → Final Accounts

19. Aamir Traders withdrew Rs 15,000 from the bank for business use only.

With reference to cash book, the given transaction is termed as

A. compound entry.
B. accrued entry.
C. contra entry.
D. single entry.

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20. Areej Enterprises received a cheque for Rs 50,000 and deposited the cheque on the same day.

The given transaction will be recorded in the cash book in the

A. cash column on the receipt side.
B. bank column on the receipt side.
C. cash column on both sides and bank column on receipt side.
D. bank column on the receipt side and cash column on the payment side.

21. As per the cash book of Afifa Enterprises on January 01, 2020, the enterprise received a cheque of Rs 50,000, which the enterprise deposited on January 20, 2020.

The given cheque will be considered as a/ an

A. asset (cash).
B. capital.
C. liability.
D. revenue.

22. Sana, an entrepreneur, brought in her personal vehicle into the business for the distribution of goods.

The given transaction would be credited in the business books as

A. assets.
B. capital.
C. liability.
D. drawing.

23. General journal records the business transactions in a/ an

A. chronological order.
B. alphabetical order.
C. decreasing order.
D. increasing order.

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24. Aleena is a beautician and operates a beauty salon. She has recently purchased a used vehicle worth Rs 250,000 for her personal use from the business account.

The given transaction will be recorded in the general journal as

	Particulars	P.R.	Debit	Credit
A	Drawings		250,000	
	Cash			250,000
B	Vehicle		250,000	
	Drawings			250,000
C	Drawings		250,000	
	Trade payables (accounts payable)			250,000
D	Vehicle		250,000	
	Cash			250,000

25. The following transactions have been extracted from the books of Al-Mehran Real Estate Agency.

- Cash withdrawn for office use of Rs 5,000
- Paid documentation charges of Rs 4,000
- Received consultation charges of Rs 25,000
- Purchased office supplies of Rs 15,000
- Paid utility bills for the office of Rs 17,000

If the opening balance of a cash ledger is Rs 50,000, then the closing balance of the ledger will be

A. Rs 34,000
B. Rs 44,000
C. Rs 51,000
D. Rs 61,000

26. A ledger account is used with an objective of

A. record keeping.
B. classification of records.
C. interpretation of records.
D. summarisation of records.

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27. The processes by which a ledger account is forwarded or closed is known as

A. computing and recording.
B. posting and journalising.
C. totalling and ledgering.
D. footing and balancing.

28. Feroz purchased goods from Asad.

Which of the following is CORRECT with reference to Asad's books of accounts?

	Books of Prime Entry	Debit	Credit
A	Purchases journal	Trade payable (account payable) - Feroz	Purchases
B	Sales journal	Trade receivable (account receivable) - Feroz	Sales
C	Purchases journal	Purchases	Trade payable (account payable) - Feroz
D	Sales journal	Sales	Trade receivable (account receivable) - Feroz

29. Amin withdrew cash worth Rs 5,000 and merchandise worth Rs 15,000 from the business for his personal use.

The general journal entry to record the given transaction would be

	Particulars	P.R.	Debit	Credit
A	Capital		20,000	
	Cash			5,000
	Purchases			15,000
B	Cash		5,000	
	Purchases		15,000	
	Capital			20,000
C	Drawings		20,000	
	Capital			20,000
D	Drawings		20,000	
	Cash			5,000
	Purchases			15,000

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30. A trial balance is constructed by extracting the data from which of the following accounting books?

    A. Cash book
    B. General ledger
    C. General journal
    D. Petty cash book

31. A trial balance is prepared with an objective of

    A. confirming logical sequencing.
    B. checking mathematical accuracy.
    C. classifying the accounting records.
    D. counter-checking of the transactions.

32. Anna sold goods to Hira on account. Hira returned a few goods. On return of the goods, a note is issued to Hira by Anna.

    The mentioned note will be termed as a/ an

    A. debit note.
    B. credit note.
    C. account note.
    D. promissory note.

33. Sales journal is also known as

    A. sales ledger.
    B. sales invoice.
    C. sales voucher.
    D. sales daybook.

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34. The following trial balance is extracted from the books of a business.

S. No.	Particulars	Debit (Rs)	Credit (Rs)
1	Cash	15,000	
2	Capital		150,000
3	Trade receivables (accounts receivable)		25,000
4	Trade payables (accounts payable)	15,000	
5	Wages expense	25,000	
6	Supplies	15,000	
7	Equipment	70,000	
8	Purchases	35,000	
9	Sales		45,000

The account titles that have been wrongly posted in the given trial balance are

A. cash and capital.
B. sales and purchases.
C. equipment and wages.
D. trade payables (accounts payable) and trade receivables (accounts receivable).

35. Ahsan initiated a trading business, he bought goods from Adeel and Co. for Rs 50,000.

In the books of Ahsan, the account title that will be credited because of the given transaction is

A. cash.
B. capital.
C. trade payables (accounts payable).
D. trade receivables (accounts receivable).

36. Special journals mostly deal with subsidiary accounts and record all

A. cash transactions regarding sales and purchases.
B. credit transactions regarding sales and purchases.
C. cash transactions regarding expenses and revenues.
D. credit transactions regarding expenses and revenues.

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37. The three column cash book of Nosheen Traders showed the balance of discounts as

Nature of account	Amount (Rs)
Debit	2,000
Credit	1,850

The amount of discount allowed from the given information is

A. Rs 150
B. Rs 1,850
C. Rs 2,000
D. Rs 3,850

38. The transaction posted by a business on the credit side of the bank column of a cash book will be

A. purchase of equipment on credit.
B. cash withdrawal from the bank for office use.
C. cash deposited in the bank by the accountant.
D. direct deposit by a customer in the account of the business.

39. Ayan purchased office furniture for his business by issuing a cheque.

The given transaction will be recorded as

	Debit	Credit
A	Purchase	Cash
B	Furniture	Bank
C	Purchase	Bank
D	Furniture	Cash

40. Adeel commenced a business with a cash investment of Rs 35,000 and merchandise worth of Rs 45,000.

The given business transaction will be recorded in the books of business as

	Debit	Credit
A	Cash	Capital
B	Capital	Merchandise
C	Capital	Cash and Merchandise
D	Cash and Merchandise	Capital

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41. Rafiqa Associates maintains petty cash book by the impress method. At the end of March 31, 2018 the balance in petty cash book was Rs 1,300. The accountant issued a cheque of Rs 3,700 to the petty cashier on April 01, 2018.

    If the petty cashier expensed out Rs 3,350 during the month of April 2018, then the amount replenished by the accountant on May 01, 2018 would be

    A. Rs 350
    B. Rs 1,650
    C. Rs 3,350
    D. Rs 3,700

42. Ameen purchased machinery for his plant from Alpha Corporation at a list price of Rs 750,000. The Alpha Corporation has allowed 10% trade discount, with a credit term of 5%. Ameen has availed this (cash discount) offer.

    The amount that will be debited in the trial balance against machine will be

    A. Rs 637,500
    B. Rs 641,250
    C. Rs 675,000
    D. Rs 750,000

43. On reviewing the accounts, it was found that the record keeper was unable to clearly distinguish between the capital and revenue expenditures.

    In the given scenario, the record keeper made the error of

    A. principle.
    B. omission.
    C. commission.
    D. original entry.

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44. Sales to SK Traders for Rs 7,500 have been posted to SRK Sons in the books of AK Enterprises.

The journal entry to rectify the given error would be

	Particulars	P.R.	Debit	Credit
A	SK Traders		7,500	
	SRK Sons			7,500
B	SRK Sons		7,500	
	SK Traders			7,500
C	SRK Sons		7,500	
	Sales			7,500
D	SK Traders		7,500	
	Sales			7,500

45. The worksheet of Al-Karam Traders showed prepaid interest of Rs 10,000 in the adjusted trial balance column.

This prepaid interest will be considered as a/ an

A. current asset.
B. current liability.
C. deferred expense.
D. unearned revenue.

46. With reference to income statement, a business is profitable when its

A. assets exceed its expenses.
B. assets exceed its liabilities.
C. revenues exceed its liabilities.
D. revenues exceed its expenses.

47. The account that will be closed at the end of the financial year is

A. furniture.
B. drawings.
C. ending inventory.
D. allowance (provision) of bad debts.

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48. Anaya Associates borrowed an amount from Lucky Traders for a short period. The accountant of the company recorded this as a current asset.

In the statement of financial position (balance sheet) of Anaya Associates, the given error will result in an

A. understatement of current assets.
B. overstatement of capital balance.
C. overstatement of current liabilities.
D. understatement of current liabilities.

49. The net profit of Jupiter Traders for the fiscal year amounted to Rs 225,000. Later, it was found that the following items were omitted from the records:

- Cash taken for personal use was Rs 20,000
- Accrued rent expense at the year-end was Rs 40,000

The adjusted net profit of Jupiter Traders would be

A. Rs 165,000
B. Rs 185,000
C. Rs 205,000
D. Rs 265,000

50. On reconciliation of accounts with the bank statement, the internal auditor found that a withdrawal for personal use was not mentioned in the business books.

The error that was identified during the internal audit is classified as an error of

A. omission.
B. principle.
C. original entry.
D. complete reversal.

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Use the given information to answer Q.51, Q.52 and Q.53.

The following balances were extracted from the books of a business:

Prepaid rent	Rs 72,000
Unearned commission	Rs 90,000
Salaries expense	Rs 65,000

51. With reference to the given balances, the rent mentioned above was paid as an annual rent on August 01, 2020.

    If the financial year of the business ends on December 31, 2020, then the rent expense for the year would be

    A. Rs 30,000
    B. Rs 36,000
    C. Rs 42,000
    D. Rs 72,000

52. With reference to the given record, commission received on March 01, 2020 was for twelve months.

    If the financial year of the business ends on December 31, 2020, then the commission earned for the year would be

    A. Rs 15,000
    B. Rs 30,000
    C. Rs 75,000
    D. Rs 90,000

53. With reference to the given record, if the outstanding salaries at the end of the year amounted to Rs 15,000, then salaries expense for the year would be

    A. Rs 15,000
    B. Rs 50,000
    C. Rs 65,000
    D. Rs 80,000

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Use the given information to answer Q.54 and Q.55.

Upon reconciliation of the bank statement with the cash book, it was found that interest charged of Rs 1,000 by the bank was recorded in the books as interest income.

54. The error in the given scenario is classified as the error of

A. commission.
B. compensation.
C. original entry.
D. complete reversal.

55. The general journal entry to rectify the given error would be

	Particulars	P.R.	Debit	Credit
A	Interest expense		1,000	
	Interest income			1,000
B	Interest income		1,000	
	Interest expense			1,000
C	Interest expense		1,000	
	Interest income		1,000	
	Bank			2,000
D	Bank		2,000	
	Interest expense			1,000
	Interest income			1,000

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56. Upon reviewing ledgers, it was found that the advertisement expense account was recorded Rs 1,500 instead of Rs 1,000 and bank interest received of Rs 2,500 was recorded as Rs 3,000.

The general journal entry to rectify the given error would be

	Particulars	P.R.	Debit	Credit
A	Advertisement expense		500	
	Bank interest			500
B	Advertisement expense		1,000	
	Bank interest			1,000
C	Bank interest		500	
	Advertisement expense			500
D	Bank interest		1,000	
	Advertisement expense			1,000

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Use the given information to answer Q.57 and Q.58.

On cross checking the trade voucher of the trade payables (accounts payable) accounts, it was revealed that the partial payment against Salim Traders was wrongly recorded in the Saleem Traders account.

57. The error in the given scenario is classified as the error of

A. principle.
B. commission.
C. compensation.
D. original entry.

58. The general journal entry to rectify the given error would be

	Particulars	P.R.	Debit	Credit
A	Trade payable (Salim Traders)		XXX	
	Trade payable (Saleem Traders)			XXX
B	Trade payable (Saleem Traders)		XXX	
	Trade payable (Salim Traders)			XXX
C	Cash		XXX	
	Trade payable (Saleem Traders)			XXX
D	Cash		XXX	
	Trade payable (Salim Traders)			XXX

59. Rent paid of Rs 8,100 was recorded in the rent expense account as Rs 1,800.

The given accounting error is classified as the error of

A. casting.
B. transposition.
C. partial omission.
D. incomplete reversal.

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60. The following record is extracted from the books of a business:

Trade receivables (accounts receivable)	Rs 48,000
Allowance (provision) for doubtful debts	Rs 4,500
Rate of allowance (provision) for doubtful debts	15%

The amount by which the doubtful debts expense will be recorded would be

A. Rs 2,700
B. Rs 4,500
C. Rs 7,200
D. Rs 11,700

Read the following information to answer Q.61 and Q.62.

The following unadjusted record is extracted from the books of a business:

Plant machinery	Rs 760,000
Allowance (provision) for depreciation	Rs 45,500
Annual rate of allowance (provision) for depreciation (under diminishing balance method)	15%

61. The amount of allowance (provision) for depreciation that will be shown in the statement of financial position (balance sheet) after adjustment would be

A. Rs 61,675
B. Rs 120,825
C. Rs 152,675
D. Rs 159,500

62. The adjusting entry to record the depreciation expense will be posted as

A. Rs 45,500
B. Rs 68,500
C. Rs 107,175
D. Rs 114,000

63. A businessman withdrew merchandise from the business for his personal use.

The account that will be credited against the drawings account will be

A. cash.
B. sales.
C. merchandise.
D. trade payable (account payable).

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64. Which of the following is CORRECT for computing the cost of sales?

A. opening stock + purchases – purchase returns – purchased discount – ending stock
B. opening stock – purchases + purchase returns – purchased discount + ending stock
C. opening stock + purchases + purchase returns + purchased discount – ending stock
D. opening stock – purchases – purchase returns – purchased discount + ending stock

65. All of the following accounts will be reversed EXCEPT for all

A. contra asset accounts.
B. accrued income accounts.
C. accrued expense accounts.
D. unearned revenue accounts.

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